

I told my staff that we would find winners wherever domiciled and bet on them, because that's what we're supposed to do in this business. Ignore patriotism and sentiment, I fearlessly declared, and find out where the growing companies are, and if it's an electric motor manufacturer in Hong Kong or a machine tool maker in Germany, that's where the money will go.

Free Markets Triumph

Then came one of the supreme upheavals of the century: the destruction of the idea of state control over economic events. Until the past decade half the world was owned by the Communist monoliths, the Soviet Union and China. Communism was a laboratory experiment to see if totalitarian controls could alter human nature. After seventy years, the experiment was ruled a failure. Whether it was the Soviet model, the Chinese model, the Hungarian model, the Vietnamese model, or the Cuban model, they all ended in complete and utter chaos, leaving impoverished populations and worthless industries. After all those years of Communist fiddling, the Polish government couldn't figure out a way to let a man walk into a pub and buy a cheese sandwich and a glass of beer.

Government control of the economy in India was almost as thorough, though it took a slightly different format. Europe was more socialist than not. Even the United States had overregulated many of its industries. In Latin America excessive regulation, stupid taxation policies, and government ownership of major industries had kept the growth rate in the cellar for most of the last fifty years. Africa, then as now, was struggling to find an identity.

Then, almost overnight, came a marvelous transformation. I don't know of any empire in history that collapsed as fast as the Soviet Union did, not even the empire of the Mongols in the fourteenth century, when Genghis Khan's great-grandson packed it in. The Soviet Union just popped like a balloon. Eastern Europe, too,